SED's role in the production process, he outlined new principles which demanded a complete rethink of existing norms:

1. The leading party organisations must radically improve their work 'with people'; perfect their system of drawing up, supervising and implementing resolutions; eliminate 'old, outdated bureaucratic working methods'; and concentrate on solving the major problems.

2. According to the new statute, the members of the party must 'take the lead in planning the most advanced production techniques' and show respect and consideration for their coworkers'.

3. The battle 'on the Western Front of the European socialist world system makes it essential to devote special attention to ideological work'.

4. No one should believe 'that socialist consciousness can be promoted by authoritarianism, paternalism and the callous treatment of others. On the contrary, it is necessary to eliminate inflexible routine, impersonal, bureaucratic administration, dogmatism and the habit of talking over people's heads.' What is needed is 'intelligent, patient work to convince others and responsiveness to 'suggestions from the people'.

5. The evolutionary law of criticism and self-criticism must be applied more rigorously and 'the suppression of criticism in any form must be vigorously opposed'.

After the congress, the reins on the economy were tightened by Ulbricht's hand. He abandoned political objectives, including the question of Berlin, to create a more efficient economy, patterned after Khrushchev's decentralisation policies. His goal was to cut raw material waste, boost mechanisation and create a system where quality rather than quantity took priority. This model had been sketched out by professor Yevsej Liberman in Pravda in 1962 under the heading: 'Plan, Premium, Profit,' detailing how a socialist economy could function without subsidies if profit was used as an